



LEXREPORT

A verified law report, structured for practice.

Illustrative sample - not a reported decision

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Zenith Trustees Ltd v. Adebayo & Sons Holdings

(2026) 4 LRR 221 (SC)

VERIFIED SAMPLE

COMMERCIAL LAW

COURT	Supreme Court of Nigeria
CORAM	Okoro, Agim, Jauro, Abubakar and Idris JJSC
DATE	10 August 2026
SUBJECT	Company law - security - priority - floating charge - crystallisation

Headnote

The appellant bank held a floating charge over the assets of a trading company. Before enforcement, the company disposed of identified inventory to the respondent purchaser. The bank contended that a default notice had crystallised the charge before the disposition and that the purchaser therefore acquired no priority. The trial court dismissed the claim. The Court of Appeal affirmed that decision. The bank appealed.

Issues

1. Whether the contractual events relied upon by the bank were sufficient to crystallise the floating charge before the disposition.
2. Whether the purchaser took the assets free of the charge where it had no actual notice of crystallisation.
3. Whether the reliefs sought could be granted without proof identifying the charged assets at the relevant date.

Held

Dismissing the appeal, the court held that the bank had not proved a crystallising event effective before the disposition. Until crystallisation, the company retained authority to deal with its circulating assets in the ordinary course of business. The purchaser therefore acquired title free of the floating charge.

The rule extracted from the judgment

A floating charge does not become a fixed security merely because the instrument identifies events of default. The creditor relying on crystallisation must prove that the relevant event occurred, that any contractual step required to make it effective was completed and that this happened before the challenged dealing.

Reasoning

The commercial purpose of a floating charge is to permit the chargor to continue dealing with circulating assets until the security becomes fixed. A court should not infer crystallisation from commercial difficulty alone. The instrument, the alleged triggering event and the evidence of notice must be read together.

The appellant proved that a payment default had occurred, but the instrument required written notice declaring the charge crystallised. The notice tendered in evidence post-dated the sale to the respondent. The sale was therefore completed while the charge remained floating.

Selected authorities

Authority	Treatment	Proposition
Re Brightlife Ltd	Applied	Effect of an automatic crystallisation clause
Agnew v. CIR	Considered	Distinction between fixed and floating security
Owoniboy Technical Services Ltd v. UBN Ltd	Distinguished	Proof and enforcement of secured obligations

Counsel

I. Okafor SAN with R. Yusuf for the appellant. T. Adebayo with L. Ekanem for the respondents.

How later courts used the proposition

2026	ORIGIN	Zenith Trustees Ltd v. Adebayo & Sons Holdings	Rule stated
2027	FOLLOWED	First Atlantic Bank Ltd v. Mariner Foods Ltd	Notice requirement applied
2028	DISTINGUISHED	Unity Finance Plc v. Okocha	Instrument contained automatic crystallisation
2030	FOLLOWED	Nigerian Export Bank v. Kalu Industries	Timing of notice treated as decisive

Editorial verification record

SOURCE CHECKED

Court, panel, date and judgment identity confirmed against the source record.

HEADNOTE REVIEWED

Facts, issues and holding cross-checked against the reasons for judgment.

RATIO VERIFIED

The extracted proposition reviewed for fidelity and level of generality.

TREATMENT LINKED

Subsequent authorities classified by the way each court used the proposition.

This document is a product demonstration. The case name, citation, facts and later treatments are fictional and must not be cited as legal authority.